

7-2c Control Environment

The

control environment (The overall attitude of management and employees about the importance of controls.)

is the overall attitude of management and employees about the importance of controls.

Three factors influencing a company's control environment include the following, as shown in Exhibit 5:

- Management's philosophy and operating style
- The company's organizational structure
- The company's personnel policies

Exhibit 5

Control Environment



Management's philosophy and operating style relate to whether management emphasizes the importance of internal controls. An emphasis on controls and adherence to control policies creates an effective control environment. In contrast, overemphasizing operating goals and tolerating deviations from control policies creates an ineffective control environment.

The business's organizational structure is the framework for planning and controlling operations. For example, a retail store chain might organize each of its stores as separate business units. Each store manager has full authority over pricing and other operating activities. In such a structure, each store manager has the responsibility for establishing an effective control environment.

The business's personnel policies involve the hiring, training, evaluation, compensation, and promotion of employees. In addition, job descriptions, employee codes of ethics, and conflict-of-interest policies are part of the personnel policies. Such policies can enhance the internal control environment if they provide reasonable assurance that only competent, honest employees are hired and retained.

Chapter 7: Internal Control and Cash: 7-2c Control Environment

Book Title: Financial and Managerial Accounting

Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

© 2023 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.